

Closing the Gaps

Trading knowledge quiz · study plan (~76–78%)

2026-07-18

Snapshot

Score	~76–78% (stricter ~72–74%)
Strong	Orders/costs, myths, volume, indicators, candles, basics
Weak	Scenarios (K ~30%), patterns (D ~38%), multi-timeframe (G ~63%)
Polish now	Definition of 1R , drawdown, bid/ask, Bollinger widen vs squeeze

Diagnosis: You know many terms. The gap is building a full trade thesis under a story: bias, trigger, invalidation, target, risk, and when to stand aside.

Rule for every chart idea:

Bias · Trigger · Invalidation · Target · Risk in R · Stand aside if...

Priority rooms

1. Scenarios (Section K) — fix first

Blank or partial on K1, K2, K4, K5. K3 (don't widen stops emotionally) was good — keep that.

Miss	What to practice
K1	Higher-timeframe trend sets bias; lower-timeframe red into HTF support is often a pullback, not an auto-short
K2	“Overbought” / high RSI into a news rip is not a short plan by itself
K4	Thin break + reclaim = failed breakdown → cancel the short thesis or wait; don't tool-hop first
K5	Cutting winners and letting losers run destroys expectancy even if win rate looks fine

Drill: Three charts a day. Fill the sentence pack above. No trade idea without invalidation.

2. Classical patterns (Section D)

Shapes were partly right. Missing pieces: confirmation, invalidation, and “pattern guaranteed outcome.”

For each pattern, memorize four fields: **shape · bias · confirmation · invalidation**.

Pattern	Confirmation idea	Invalidation idea
Double top	Neckline break holds	Reclaim + new high
Double bottom	Neckline break holds	Lose the lows / failed breakout
Head & shoulders (top)	Neckline failure	Strong reclaim / new high

Pattern	Confirmation idea	Invalidation idea
Ascending triangle	Break and hold above flat top	Break below rising support
Descending triangle	Break and hold below flat bottom	Break above descending resistance
Flag	Continuation after pole + tight pause	Break opposite the pole's direction

3. Multi-timeframe (Section G + C8)

You weighted the lower timeframe too heavily.

- Higher timeframe = bias / map
- Lower timeframe = entry timing only
- A 15m downtrend can be a pullback inside a daily uptrend — both can be “true” on their scale
- Lower timeframes = more signals and more noise

Drill: Before any entry idea, write one line: HTF bias = up / down / range / unsure. If unsure, flat.

4. Risk language (I7, I8)

- **1R** = the dollar amount you accept losing if price hits your **original** stop
- **Drawdown** hurts capital and decision quality; large losses need much larger gains to recover

Journal paper trades as +2R / -1R, not only win/loss.

Four-week plan

Paper/demo only. About 30–45 minutes, five days a week.

Week 1 — Patterns

One pattern per day from the table above. Find one historical example that worked and one that failed. Write confirmation + invalidation for each.

Week 2 — Timeframes

One market daily. Mark HTF bias first, then check whether LTF action is with-trend or a pullback. Re-answer C8, G1, G3, G4 from memory mid-week.

Week 3 — Scenarios

Three charts daily with the full sentence pack. Replay K1–K5 until answers are fast and complete (under ~3 minutes each). Log three *skipped* ideas per session.

Week 4 — Risk + retake

Every paper idea: define 1R in dollars before entry. Retake sections **D**, **G**, **K**, plus I7/I8.

Retake	Goal
D	75%+
G	80%+
K	70%+
I7/I8	Clean definitions

If D or K still lag, repeat Weeks 1 and 3 before adding new tools (orderflow, more indicators, more markets).

External resources (HTTPS)

All links below are external and clickable.

Patterns

- [Double top](#)
- [Double bottom](#)
- [Head and shoulders](#)
- [Ascending triangle](#)
- [Descending triangle](#)
- [Flag](#)
- [Chart patterns overview](#)
- [BabyPips · Chart patterns](#)
- [StockCharts · Chart patterns intro](#)

Multi-timeframe and levels

- [Multiple time frames](#)
- [Multiple time frames in FX](#)
- [BabyPips · Multiple time frames](#)
- [Support and resistance](#)

Risk, expectancy, basics

- [Drawdown](#)
- [Expectancy](#)
- [Bid-ask spread](#)
- [Bollinger Bands](#)
- [Investor.gov · Risk](#)
- [CME · Technical analysis courses](#)

Candles and failed breaks (context)

- [Candlestick chart](#)

- [Doji](#)
- [Bullish engulfing](#)

What not to do

- Don't add footprint/orderflow until D, G, and K retakes clear the goals above
- Don't stack more oscillators (indicators were already a strength)
- Don't widen stops after entry because of one wick
- Don't increase size to "feel progress" — progress is cleaner theses and R-discipline

Weekly scorecard

Week	Focus	Done
1	Pattern cards + invalidation	
2	HTF bias before LTF entries	
3	Full thesis pack $\times$ 15 charts	
4	R journaling + D/G/K retake	

Weakest room this week: _____

One rule under emotion: _____